(iii) Section 129 (1) also states that the financial statements shall be prepared in the form provided in schedule III of Indian Companies Act, 2013.

Where the financial statements of a company do not comply with the Accounting Standards referred to in Section 129 (1) of the Companies Act, 2013, the company shall disclose in its financial statements, the deviation from the Accounting Standards, the reasons for such deviation and the financial effects, if any, arising out of such deviation.

Student activity 8.1

Invite an auditor to your class to discuss about the preparation of financial statements of different forms of business.

Note: Statement of profit and loss (Part II of Schedule III) and Balance Sheet (Part I of Schedule III) have been given only for understanding purpose and not for examination.

Schedule III of the Companies Act, 2013

PART II – STATEMENT OF PROFIT AND LOSS

Name of the Company ……

Profit and loss statement for the year ended ……

(Rupees in ……..)

Particulars		Note No.	Figures for the current reporting period	Figures for the previous reporting period
1		2	3	4
I	Revenue from operations		xxx	xxx
II	Other income		xxx	xxx
III	Total Revenue (I+II)		xxx	xxx
IV	Expenses:			
	Cost of materials consumed		xxx	xxx
	Purchase of Stock-in-Trade		xxx	xxx
	Changes in inventories of finished goods		xxx	xxx
	Work-in-progress and		xxx	xxx
	Stock-in-trade		xxx	xxx
	Employee benefits expenses		xxx	xxx
	Finance costs		xxx	xxx
	Depreciation and amortisation expenses		xxx	xxx
	Other expenses		xxx	xxx
	Total expenses		xxx	xxx

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